RBI. So, the interest rate to the customer may increase from 10 to 11 per cent. Now the customer will not borrow at this higher rate or will reduce his borrowings. So, the money supply will come down.

CC.1.B.2. Marginal Standing Facility (MSF)

It is a loan facility given by RBI to banks which have current and SGL (Subsidiary General Ledger) account with RBI. It is a loan for overnight (one day). This facility was made available from May 9, 2011. It is more similar to Liquidity Adjustment Facility (Repo and Reverse Repo), but there are many differences.

The loan is given against the mortgage of eligible securities, which are Government dated securities, Treasury bills and State Development Loans. The loan size will be minimum ₹ 1 crore and further amount is in multiples of ₹ 1 crore. The interest rate for MSF is Repo rate plus 1 per cent. Usually, the Reverse Repo rate is Repo rate minus 1 per cent. Therefore, the Repo rate acts as an anchor rate. The Repo rate stands in the middle. The MSF rate stands above and Reverse Repo rate stands below the Repo Rate.

CC.1.B. 3. Market Stabilisation Scheme

It is not a pure monetary instrument. It is a fiscal cum monetary instrument. It is a facility to control liquidity due to excess foreign exchange flow into the country. In this facility, the RBI issues government securities to absorb excess liquidity. The interest is paid by the Ministry of Finance, Government of India. The amount of issue and date of issue is decided by RBI in consultation with Ministry of Finance, Government of India.

CC.2. Qualitative (or) Selective Credit Controls

These methods control the use and direction of credit. These methods discriminate between sectors. They control the credit flow to a